

CHENNAI FLAGSHIP • 2026

RaceSims *Chennai* Flagship Centre

A 6-rig premium sim racing centre — built by the country's only Conspit & VNM distributor, on cost-price kit, in the city where motorsport already lives.

Sim racing in India is where karting was *in 2010*.

WHY NOW

- 1M+ active sim racers in India (Steam + console + mobile crossover)
- Zero premium dedicated centres — only home setups & cybercafé-grade rooms
- Direct-drive hardware now affordable; motion platforms credible sub-₹10L
- Motorsport audience (F1, MotoGP, INRC) growing 25-30% YoY in India
- Esports recognised by Govt of India (2022) — competitive sim racing has a path

WHY US

- **India distributor for Conspit & VNM** — premium rigs at cost price
- ARKA Motorsports lineage — 130+ championship titles, real racing credibility
- Existing dealer network across 4 cities running our Hot Lap pool
- National Sim Racing Championship announced for 2027
- Operator + distributor + championship organiser — integrated stack

6 rigs. 12 hours a day. *365 days a year.*

RIGS 6 5 Rally/GT + 1 Motion	OPERATING HOURS 12hr Daily, 7 days a week	ANNUAL CAPACITY 26,280 Seat-hours (hard ceiling)	TEAM 4 Direct + outsourced CA
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FORMAT & EXPERIENCE

- Premium location · 1,200-1,500 sq ft commercial space
- 5 Rally/GT rigs · Conspit DD wheelbase, load-cell pedals, H+seq shifter
- 1 Motion rig · Conspit/VNM motion platform — premium tier offering
- Café-lounge, branded photo zone, viewing area
- Event/streaming kit from day one — RaceSims Championship build-up

REVENUE STREAMS

- Per-hour sessions · peak / off-peak / motion premium tiers
- Memberships & multi-hour packs
- Corporate events, birthdays, team-building
- Coaching & race academy
- Championship entry fees (from 2027)
- Café, merch & brand collaborations

We build a ₹65L centre for ₹39L. *Every centre.*

Premium Conspit & VNM kit at distributor cost. A competitor pays ₹65-70L retail for the same rigs we deploy at ₹39L. A ₹26-31L structural cost advantage per centre.

Rally Rig — ₹5,84,900 each

High-end PC (RTX 4070Ti+)	₹2,70,000
Monitor (premium tier)	₹75,000
Conspit cockpit frame	₹35,000
Conspit / VNM bucket seat	₹20,000
Conspit DD wheelbase	₹42,000
Conspit GT / rally wheel	₹28,000
QR + load-cell pedals	₹34,900
Handbrake + shifter	₹40,000
Audio system + speakers	₹40,000
Total per rig	₹5,84,900

Motion Rig — ₹9,84,900

Rally rig base (above)	₹5,84,900
Conspit / VNM motion system	₹4,00,000
Total motion rig	₹9,84,900

6-rig deployment

5 × Rally Rig	₹29,24,500
1 × Motion Rig	₹9,84,900
Total rig deployment	₹39,09,400

Retail equivalent: ₹65-70L — built-in equity of ₹26-31L per centre.

Total Y1 investment: ₹92L

HARD CAPEX · ₹69.3L

Rigs (5 Rally + 1 Motion)	₹39,09,400
Space prep (HVAC, interior, flooring, lighting, furniture)	₹8,50,000
Power & electrical (wiring + UPS 6 KVA)	₹2,50,000
IT, software, networking, POS	₹2,55,000
Brand & CX (signage, café, streaming kit)	₹4,60,000
Safety, spares & tools	₹1,08,000
Deposits & pre-opening (incl. ₹9L rent deposit)	₹11,00,000
Hard capex total	₹69,32,400

WORKING CAPITAL · ₹23.1L

5 months × ₹4.63L monthly opex	₹23,13,000
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Grand total

Hard capex	₹69.32L
Working capital (5 mo)	₹23.13L
Total Y1 cash need	₹92.45L

Built-in equity

Rigs deployed at our cost (₹39L) are worth ₹65-70L at retail.

Day-one balance sheet equity of ₹26-31L — invisible on cash flow, real on the balance sheet.

PAYBACK WINDOW

Invested capital recovered on cumulative EBITDA by Q2 of Year 3.

₹4.63L / month. *Lean by design.*

TEAM — 4 DIRECT + OUTSOURCED CA

ROLE	COUNT	₹ / MONTH
Senior Team Lead	1	₹35,000
Multi-role Team Member	2	₹40,000
Housekeeping	1	₹5,000
Direct payroll	4	₹80,000
Statutory (PF + ESI + bonus, ~28%)		₹22,400
Outsourced CA (filings only)		₹7,000

Total staff cost ₹1,09,400

Senior Lead handles Zoho Books day-to-day; CA does filings. Team is multi-role: sim ops, floor, marketing, community.

OVERHEADS

Rent (premium location)	₹1,50,000
Electricity & utilities	₹1,05,000
Maintenance & spares	₹25,000
Marketing budget	₹25,000
Incentive pool reserve	₹25,000
Software, insurance, bank, music, misc	₹23,200

Non-staff overheads ₹3,53,200

Total monthly opex ₹4,62,600

Annual opex Y1 · ₹55.5L

Break-even at 28%. *Y1 lands at 30%.*

UTILISATION RAMP · BASE CASE

YEAR	UTIL %	HRS/RIG/DAY	BLENDED ₹/HR
Y1 · 2026	30%	3.6	₹750
Y2 · 2027	50%	6.0	₹800
Y3 · 2028	60%	7.2	₹900
Y4 · 2029	65%	7.8	₹1,000
Y5 · 2030	68%	8.2	₹1,100

Blended rate weighs off-peak ₹500-650, peak ₹900-1,200, motion premium ₹1,200-1,500, group/corporate bookings. Industry benchmark for mature entertainment venues: 50-65%. 68% by Y5 is defensible-ambitious.

REVENUE BUILD (₹L)

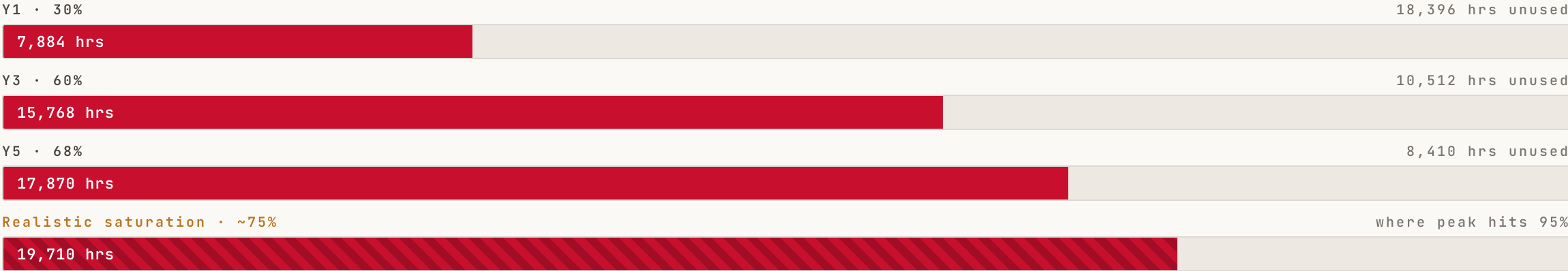
YEAR	RIG	ANCILLARY	TOTAL
Y1	59.1	8.9	68.0
Y2	105.1	21.0	126.1
Y3	141.9	35.5	177.4
Y4	170.8	47.8	218.7
Y5	196.6	59.0	255.5

5Y total	673.5	172.2	845.7
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Ancillary = café + merch + events + coaching + championship entries. Grows from 15% → 30% of rig revenue as community builds.

The constraint isn't average utilisation — *it's peak saturation.*

ANNUAL CEILING · 26,280 SEAT-HOURS (IMMOVABLE)



PEAK VS OFF-PEAK SPLIT · Y5

SLOT	HRS/WK	UTIL	STATUS
Weekday off-peak (11am-6pm)	210	~45%	Room
Weekday peak (6pm-11pm)	150	~90%	Near full
Weekend (all day)	144	~88%	Near full
Blended	504	68%	

At Y5, peak slots are 90%+ booked. Growth from here = raise peak prices or open Centre #2.

Centre #2 trigger

Weekday peak hits **90%+ for 3 consecutive months** (expected mid-Y3) → trigger Centre #2 rollout.

OFF-PEAK STRATEGY

- Corporate team-building (₹15-25K per session)
- Coaching & race academy (recurring weekday mornings)
- Schools/colleges (esports clubs, mornings + early afternoons)
- League play (Championship qualifiers)
- Influencer / content shoots (paid)

₹4.80cr cumulative EBITDA. 65% margin by Y5.

ALL FIGURES IN ₹ LAKHS	Y1	Y2	Y3	Y4	Y5	5Y TOTAL
REVENUE						
Rig revenue	59.1	105.1	141.9	170.8	196.6	673.5
Ancillary (café, merch, events)	8.9	21.0	35.5	47.8	59.0	172.2
Total revenue	68.0	126.1	177.4	218.7	255.5	845.7
OPERATING EXPENSES						
Payroll + statutory + CA	13.1	17.2	18.2	19.3	20.4	88.2
Rent (5% escalation)	18.0	18.9	19.8	20.8	21.9	99.4
Electricity & utilities	12.6	13.5	14.5	15.5	17.0	73.1
Maintenance & spares	3.0	3.5	4.0	4.5	5.0	20.0
Marketing	3.0	4.0	5.0	5.5	6.0	23.5
Incentive pool	3.0	4.0	5.0	5.5	6.0	23.5
Café COGS + other variable	2.8	5.1	7.7	10.1	12.2	37.9
Total opex	55.5	66.2	74.2	81.1	88.5	365.5
EBITDA	12.5	59.9	103.2	137.6	167.0	480.2
EBITDA margin %	18%	48%	58%	63%	65%	57%
Depreciation (rig 5yr + infra 7yr SLM)	10.9	10.9	10.9	10.9	10.9	54.3
PBT	1.7	49.0	92.3	126.7	156.1	425.9
Tax @ 25%	0.4	12.3	23.1	31.7	39.0	106.5
PAT	1.2	36.8	69.2	95.0	117.0	319.4

Payback in 26 months. *5.2× EBITDA on capital.*

Y1 INVESTMENT

₹92L

₹69L capex + ₹23L WC

PAYBACK PERIOD

26mo

Q2 of Y3 on EBITDA

5Y CUMULATIVE EBITDA

₹4.80cr

5.2× capital deployed

Y5 EBITDA MARGIN

65%

Mature steady state

CUMULATIVE CASH POSITION (₹L)

YEAR	EBITDA	CUMULATIVE	NET OF ₹92L
Y1	12.5	12.5	-79.5
Y2	59.9	72.4	-19.6
Y3	103.2	175.6	+83.6
Y4	137.6	313.2	+221.2
Y5	167.0	480.2	+388.2

Cash positive early Y3. Capital fully returned by Q2 Y3.

THREE SCENARIOS · SENSITIVITY TO Y5 UTIL

SCENARIO	Y5 UTIL	5Y EBITDA	PAYBACK
Conservative	62%	₹4.1cr	~30 mo
Base case	68%	₹4.80cr	~26 mo
Aggressive	72%	₹5.20cr	~24 mo

Y3 EBITDA SENSITIVITIES

Each 1% utilisation change	±₹1.8L
Each ₹50 blended rate change	±₹3.6L
10% rent variance	±₹1.8L

₹92L for the Chennai flagship. *The proof point.*

WHAT ₹92L BUYS

- 6-rig premium centre at our cost-price kit
- Premium Chennai location (1,200-1,500 sq ft)
- 5 months operating runway built in
- Event/streaming kit for Championship 2027
- Founding team of 4 in place from month one

WHAT IT RETURNS

- **₹4.80 cr** cumulative EBITDA over 5 years
- **₹3.19 cr** cumulative PAT
- **26-month** payback on EBITDA
- **65%** EBITDA margin at steady state
- Operating template for national rollout

WHY THIS FIRST

- Single centre — single proof point
- Numbers built bottom-up, line by line
- Distributor edge → structural moat
- Chennai · motorsport's natural home
- Centre #2 triggered by saturation, not calendar

NEXT CONVERSATION

Multi-centre national rollout · Franchisee economics · Championship monetisation

PROPOSAL · v2 BASE CASE

